

Oracle Corp.

1Q27 Preview: Short-Term Positive Catalysts - Questions on Medium-Term Outlook

For Q1 itself, we see a positive set-up for ORCL. Expectations for nearly 1GW of capacity delivered support Street estimates and we think ORCL finished its ATM, creating a much clearer funding picture. The one drawback is the uncertainty around the New Mexico DC, which could impact FY28+ numbers.

Better Set-Up in Short Term But Questions On Medium Term Outlook: For Q1, investors need to balance two separate items. In the short term, the picture looks more favorable as extra capacity and the likely completion of the company's \$20bn equity funding program clears up many short-term concerns for investors. Hence, we expect a positive share price reaction. However, we also need consider the potential impact of the regulatory framework on Oracle's medium term growth. Especially, the ongoing questions for the New Mexico data center project could have implications for the outer years. However, given the low sentiment for the shares at the moment, we think the positive news will be more important. We maintain our Overweight rating.

Significant Capacity Go-Lives Increase Confidence in FY27 Revenue

Trajectory: Management on the Q4 earnings call talked about nearly 1GW of additional capacity in Q1. We estimate Stargate Abilene added about 400MW and the rest will need to come from other sites (Shakelford County, Texas, other regions). We estimate about 750MW in Q1 additional capacity which is not quite the 1GW level but still a very substantial number that supports our cloud revenue and more importantly guided growth of 58-64% YoY growth (reported). Since our model is capacity driven (please contact us for more detail) we can see that cloud revenue growth could be more on the low end of the range (we model 59.5%) depending on linearity of the Q1 add. While some bears could try to make a negative point out of this set-up, we would argue that with this cloud growth, total revenue for Oracle will still accelerate from 20.6% YoY in Q4 FY26 to 28.2% in Q1 FY27, one of the largest growth increases we have ever seen in our tech coverage. More importantly, this elevated growth will likely accelerate further in the coming quarter, particularly if the capacity came very late in the quarter (and hence had more limited in-quarter revenue contribution).

A Clearer Funding Picture: One of the main discussion points on Oracle over the past half a year has been Oracle's funding plan for the coming year. One major element of this was the \$20bn equity raise. Unfortunately, the company had not started the program by the end of Q4 FY26. However, we believe, looking at the daily dollar trading volumes (about \$5bn average

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Completed: 09-Sep-26, 11:04 GMT Released: 09-Sep-26, 11:04 GMT Restricted - External

ORCL

OVERWEIGHT

Unchanged

U.S. Software

POSITIVE

Unchanged

Price Target

USD 250.00

Unchanged

Price (08-Sep-26)

USD 162.52

Potential Upside/Downside

+53.8%

Source: Bloomberg, Barclays Research

Market Cap (USD mn)

468134

Shares Outstanding (mn)

2880.47

Free Float (%)

59.54

52 Wk Avg Daily Volume (mn)

28.7

Dividend Yield (%)

1.23

Return on Equity TTM (%)

58.61

Current BVPS (USD)

13.02

Source: Bloomberg

Price Performance

Exchange-Nasdaq

52 Week range

USD 345.72-114.50



Source: LSEG Data & Analytics, Bloomberg
[Link to Barclays Live for interactive charting](#)

U.S. Software

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daily trading volume in Q1), that Oracle likely finished its ATM program in Q1. The potential announcement of the end of the ATM should remove one of the main technical overhangs for the shares. We believe part of the issue for the "bad" trading in Oracle shares of late (relative underperformance on good and bad days) was this overhang of a \$20bn seller in the market. With company now fully funded for FY27 and growth inflecting we see a better trading environment ahead.

New Mexico Data Center Requires Attention For Medium Term Outlook: One of the largest projects for Oracle is the New Mexico campus which is supposed to deliver up to 2.45GW in capacity. The original customer delivery time frame was in 1H CY27. However, the project has two discussion items, the air permit situation and the gas pipeline situation. Both of these are solvable but so far have not been resolved which increases the probability of a potential delay. Given the size of the projects, investors need to consider the impact on Oracle's financials in the out-years (more FY28 onwards). This will be an interesting test for Oracle's new CFO, Hilary Maxson, and her approach to long term guidance. There is a possibility though that this subject and with this Oracle's long term guidance will be addressed at the analyst day in October as this gives time for management to get more visibility around the necessary procedural milestones.

ORCL: Quarterly and Annual EPS (USD)

	2026	2027			2028			Change y/y	
FY May	Actual	Old	New	Cons	Old	New	Cons	2027	2028
Q1	1.47A	1.74E	1.71E	1.75E	2.26E	2.21E	2.23E	16%	29%
Q2	2.26A	1.91E	1.90E	1.91E	2.53E	2.46E	2.51E	-16%	29%
Q3	1.79A	2.02E	2.01E	2.06E	2.75E	2.77E	2.87E	12%	38%
Q4	2.14A	2.38E	2.40E	2.38E	3.08E	3.12E	3.35E	12%	30%
Year	7.66A	8.04E	8.02E	8.07E	10.63E	10.58E	10.80E	5%	32%
P/E	21.2		20.3			15.4			

Consensus numbers are from Bloomberg received on 08-Sep-2026; 12:50 GMT
Source: Barclays Research

U.S. Software

POSITIVE

Oracle Corp. (ORCL)

OVERWEIGHT

Income statement (\$mn)	2026A	2027E	2028E	2029E	CAGR
Revenue	67,358	88,585	127,938	180,195	38.8%
EBITDA (adj)	36,548	53,349	76,941	106,045	42.6%
Operating profit (adj)	28,925	36,739	49,147	68,789	33.5%
Pre-tax income (adj)	27,875	30,447	41,031	59,434	28.7%
Net income (adj)	22,338	24,662	33,235	48,141	29.2%
EPS (adj) (\$)	7.66	8.02	10.58	15.06	25.3%
Diluted shares (mn)	2,914.5	3,076.0	3,142.7	3,196.2	3.1%
DPS (\$)	2.00	2.00	2.00	2.00	0.0%
Margin and return data	2026A	2027E	2028E	2029E	Average
EBITDA (adj) margin (%)	54.3	60.2	60.1	58.9	58.4
Operating margin (adj) (%)	42.9	41.5	38.4	38.2	40.3
Pre-tax (adj) margin (%)	41.4	34.4	32.1	33.0	35.2
Net (adj) margin (%)	33.2	27.8	26.0	26.7	28.4
ROIC (%)	10.4	11.5	13.3	15.6	12.7
ROA (%)	6.5	5.5	5.8	7.0	6.2
ROE (%)	39.7	25.2	21.9	24.1	27.7
Balance sheet and cash flow (\$mn)	2026A	2027E	2028E	2029E	CAGR
Net PP&E	99,957	175,436	241,731	300,524	44.3%
Goodwill	62,261	62,261	62,261	62,261	0.0%
Cash and equivalents	31,289	26,200	14,463	25,324	-6.8%
Total assets	261,759	376,581	493,665	611,065	32.7%
Short and long-term debt	129,541	144,713	134,044	146,794	4.3%
Other long-term liabilities	176,939	228,003	271,991	303,640	19.7%
Total liabilities	218,703	293,706	363,201	434,669	25.7%
Net debt/(funds)	97,647	117,908	118,976	120,865	7.4%
Shareholders' equity	43,056	82,876	130,464	176,396	60.0%
Change in working capital	4,135	15,398	17,639	10,971	38.4%
Cash flow from operations	31,977	57,853	79,292	96,526	44.5%
Capital expenditure	-55,663	-92,088	-94,090	-96,049	N/A
Free cash flow	-19,728	-27,776	-7,856	8,505	N/A
Valuation and leverage metrics	2026A	2027E	2028E	2029E	Average
P/E (adj) (x)	21.2	20.3	15.4	10.8	16.9
EV/sales (x)	8.5	6.5	4.5	3.2	5.6
EV/EBITDA (adj) (x)	15.6	10.7	7.4	5.4	9.8
Equity FCF yield (%)	-4.2	-5.6	-1.5	1.6	-2.4
Dividend yield (%)	1.2	1.2	1.2	1.2	1.2
Net debt/EBITDA (adj) (x)	-2.7	-2.2	-1.5	-1.1	-1.9
Total debt/capital (%)	75.1	63.6	50.7	45.4	58.7
Selected operating metrics (\$mn)	2026A	2027E	2028E	2029E	CAGR
License revenue	4,736	4,487	4,262	3,964	-5.8%
Maintenance revenue	19,805	19,287	18,303	16,719	-5.5%
Services revenue	5,743	6,060	6,120	6,182	2.5%
Deferred revenue	9,916	22,406	28,325	28,346	41.9%

Note: FY End May

Source: Company data, Bloomberg, Barclays Research

Price (08-Sep-2026) **USD 162.52**
 Price Target **USD 250.00**

Why OVERWEIGHT?

We expect accelerating growth and EPS expansion in the medium term as the portfolio mix effect becomes favorable for the overall growth trajectory and ORCL turns its large RPO balance from AI contracts into revenue.

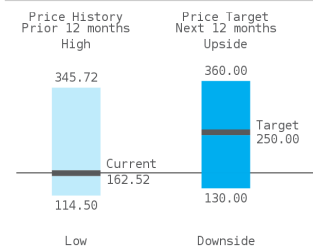
Upside case **USD 360.00**

Fusion and NetSuite bringing up the overall SaaS growth rate and Gen2 IaaS products (ramping consumption from large deals and AI workloads) could drive better than expected top and bottom line growth.

Downside case **USD 130.00**

Demand for OCI is weaker than expected, particularly AI demand and there is less than expected pricing power for GPU as a service. An intensification of both effects would drag on growth/margin.

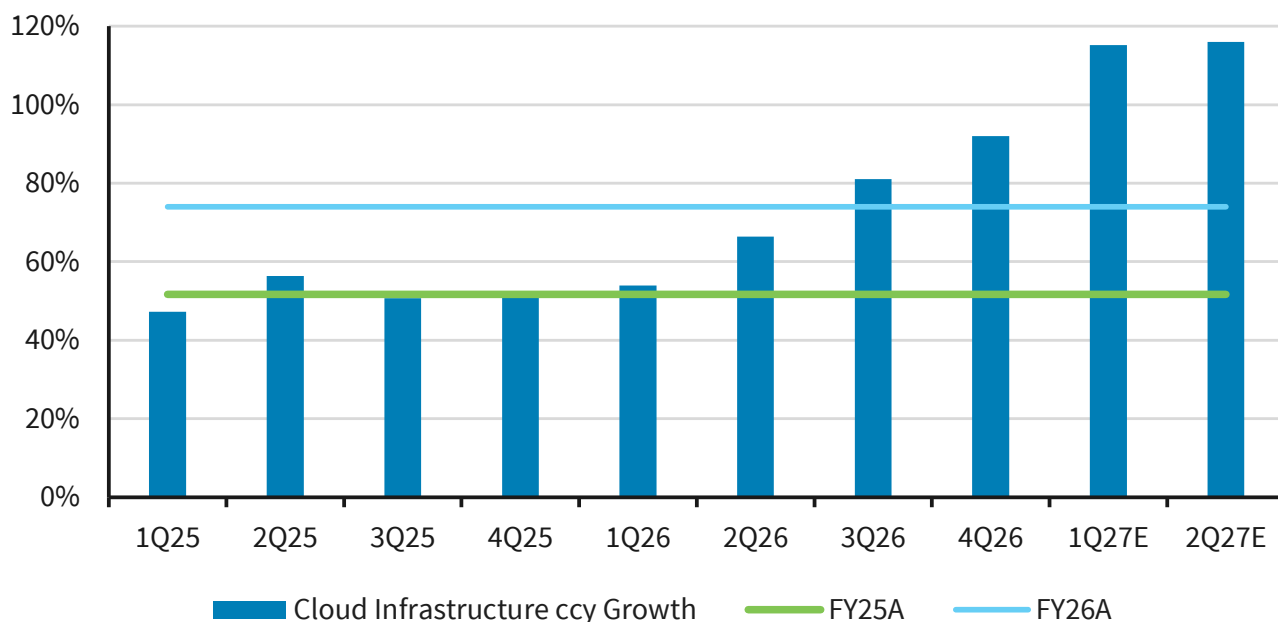
Upside/Downside scenarios



1Q27 Model Considerations and Consensus Estimates

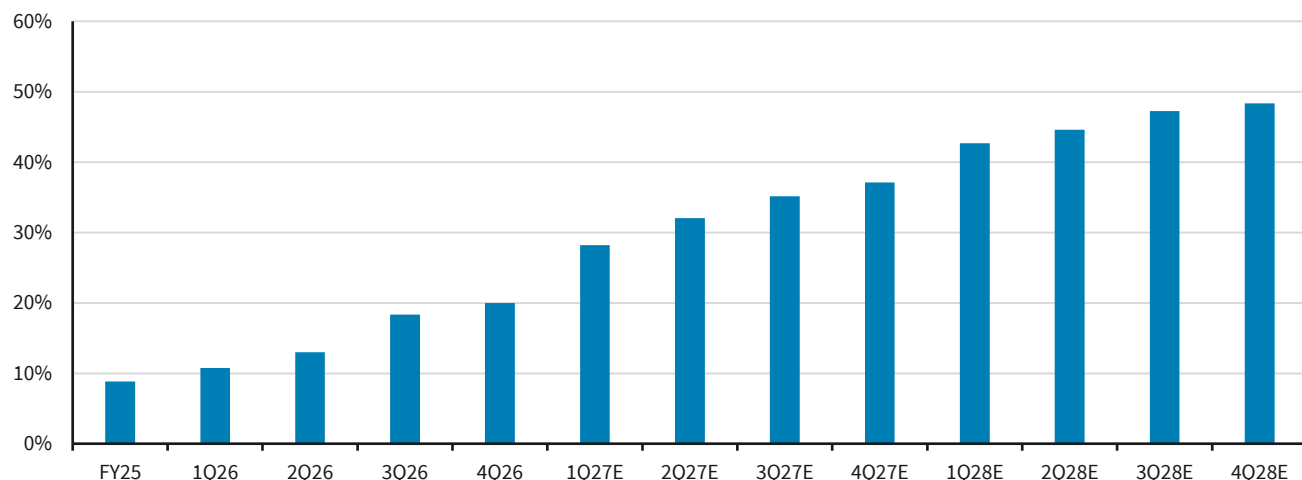
Q1 is typically a seasonally small quarter for ORCL, particularly around license renewal activity that has historically led to a high single-digit Q/Q total revenue growth rate decline in Q1 vs. Q4. However, we note this dynamic is changing as ORCL's growing AI infrastructure business drives a greater portion of ORCL's total growth and as license revenue continues to see pressure due in part to customer migrations from ORCL's on-prem solutions to its managed SaaS and PaaS equivalents. Given this dynamic, Cloud Infrastructure (OCI) continues to be the most important top-line metric, with consensus expecting Cloud Infrastructure revenue growth to accelerate to ~115% in 1Q27E (vs. ~92%, ~81% and 66% over the last three quarters, respectively, see the figure below for details). Consensus OCI growth expectations imply ~\$1.4bn of net new Cloud Infrastructure revenue (vs. ~\$850mn on average over the last two quarters), which we see more than supported by mgmt commentary discussing expectations for Q1 capacity deliver to approach 1GW when considering \$10-12bn of ARR/GW. The key to Cloud Infrastructure (OCI) performance and extent of any upside will be the linearity of adds in the quarter, as timing can make substantial difference to the in-quarter revenue recognition of new capacity adds. We see potential for ORCL to deliver more in-line with consensus in Q1 and ahead in 2Q27, where we model OCI growth to accelerate to ~120% y/y growth (vs. cons 116%).

FIGURE 1. Oracle Cloud Infrastructure Revenue Growth



Source: Company data, Barclays Research, Bloomberg consensus estimates.

We note Cloud Infrastructure revenue exited FY26 at over 25% of total revenue and hence, is beginning to more meaningfully expand the overall company growth rates, with 1Q27 expected to see ~28% y/y total revenue growth. We note this is expected to only accelerate further in the coming quarters as the AI-powered Cloud Infrastructure segment becomes a larger portion of the total and should help improve sentiment going forward.

FIGURE 2. 1Q27 Total Revenue Growth to Continue Accelerating, but This Only Marks the Beginning of a Multi-Year Acceleration

Source: Company data, Barclays Research, Bloomberg consensus estimates.

ORCL is expected to see gross margin pressure from its greater AI infrastructure revenue mix which has an approx 30-40% gross margin. Given the large capacity add expected in 1Q27 (approaching 1 GW), we could see a more meaningful step down to near-term gross margins and we model 2Q27 non-GAAP gross margins ~190bps below cons expectations. However, we note that this is in part timing as ORCL incurs upfront costs and lease expenses in advance of revenue generating equipment installation. We expect this potential pressure to be offset with continued OpEx related efficiencies (headcount) and commentary from management around healthy contribution margins for newly signed deals. Below, we show Barclays vs. Consensus estimates for ORCL for the current and subsequent quarter.

FIGURE 3. Barclays Research Estimates vs. Consensus Estimates

\$, mn	Barclays	Consensus	Difference	Barclays	Consensus	Difference
	1Q27E	1Q27E		2Q27E	2Q27E	
Cloud Applications	4,246	4,257	(0.3)%	4,321	4,335	(0.3)%
ccy growth	10.5%	10.1%	32 bps	10.5%	10.5%	-3 bps
Cloud Infrastructure	7,213	7,190	0.3%	8,956	8,808	1.7%
ccy growth	115.4%	115.2%	17 bps	119.2%	115.9%	328 bps
Hardware	657	671	(2.0)%	748	773	(3.3)%
Services	1,486	1,380	7.6%	1,490	1,471	1.3%
Total Revenue	19,149	19,129	0.1%	21,221	21,129	0.4%
y/y growth	28.3%	28.2%		32.2%	31.6%	
ccy growth	28.2%	28.2%		31.8%	32.0%	
Gross profit, adjusted	11,867	11,918	(0.4)%	12,428	12,792	(2.8)%
% margin	62.0%	62.3%		58.6%	60.5%	
Operating profit, adjusted	8,023	7,809	2.7%	8,592	8,559	0.4%
% margin	41.9%	40.8%		40.5%	40.5%	
EPS, adjusted (\$)	1.71	1.75	(2.0)%	1.90	1.91	(0.5)%

Source: Barclays Research, Bloomberg Consensus.

Modeling Benign FX Impacts in Q1, In-Line with Guidance

In June, Oracle's guidance for 1Q27 implies a flat FX impact to total revenue (vs. ~1.4% and ~3.2% tailwinds in Q4/Q3, respectively per our estimate) and \$0.01 headwind to EPS. After some early strengthening and offsetting softness of the dollar since then (Bloomberg Dollar Spot Index appreciated in June/July before falling in Aug), we see FX being neutral to Q1 revenue growth. If rates remain consistent throughout November, we model a modest ~20bps tailwind to fiscal 2Q27 growth and ~10bps headwind in 3Q27. We update our model to account for these changes.

FIGURE 4. Oracle Historical and Estimated FX Impact to Revenue and EPS

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E
FX Impact on Revenue Growth (Oracle)	-5.3%	-6.5%	-3.1%	-1.1%	0.8%	1.4%	0.1%	-0.7%	-0.7%	-0.1%	-1.7%	0.5%	1.4%	1.2%	1.0%	0.0%
FX Impact on EPS Growth (Oracle)	-7.2%	-7.3%	-5.0%	-2.0%	2.0%	2.0%	0.0%	-0.6%	-1.0%	-0.1%	-2.8%	1.9%	2.0%	2.0%	2.5%	-0.3%

Note: Historical data is based on company commentary and Barclays estimates and may be affected by rounding

Source: Company Data, Barclays Research

Model Update

Along with this preview, we update our ORCL model to better reflect our long-term capacity and CapEx expectations, adding some incremental prudence to our medium-term targets to reflect potential timing risk related to ORCL's New Mexico data center. We maintain our Overweight rating and \$250 PT, which is based on ~26x ORCL's CY27E adj. EPS of \$9.51 (from \$9.55). See the figures below for Barclays financial model outputs for ORCL.

Financial Model

FIGURE 5. Oracle Income Statement

Fiscal end = May \$m	FY 2024	FY 2025	Aug 1Q 26	Nov 2Q 26	Feb 3Q 26	May 4Q 26	FY 2026	Aug 1Q 27E	Nov 2Q 27E	Feb 3Q 27E	May 4Q 27E	FY 2027E	FY 2028E	FY 2029E	FY 2030E
Cloud services & license support	39,383	44,030	12,141	12,915	13,883	14,856	53,795	16,285	18,097	19,417	21,209	75,009	114,556	167,080	205,253
y/y growth	11.5%	11.8%	15.4%	19.5%	26.1%	27.0%	22.2%	34.1%	40.1%	39.9%	42.8%	39.4%	52.7%	45.8%	22.8%
Cloud license & on-prem license	5,081	5,201	766	939	1,150	1,881	4,736	721	886	1,093	1,787	4,487	4,262	3,964	3,686
y/y growth	-12.1%	2.4%	-12.0%	-21.4%	1.9%	-6.3%	-8.9%	-5.9%	-5.6%	-5.0%	-5.0%	-5.3%	-5.0%	-7.0%	-7.0%
Hardware	3,066	2,936	670	776	714	924	3,084	657	748	728	896	3,030	2,999	2,969	2,940
y/y growth	-6.4%	-4.2%	2.3%	6.6%	1.6%	8.7%	5.0%	-1.9%	-3.6%	2.0%	-3.0%	-1.8%	-1.0%	-1.0%	-1.0%
Services	5,431	5,232	1,349	1,428	1,443	1,523	5,743	1,486	1,490	1,515	1,569	6,060	6,120	6,182	6,243
y/y growth	-2.9%	-3.7%	6.8%	7.4%	11.8%	13.0%	9.8%	10.1%	4.4%	5.0%	3.0%	5.5%	1.0%	1.0%	1.0%
Total Revenue	52,961	57,399	14,926	16,058	17,190	19,184	67,358	19,149	21,221	22,753	25,461	88,585	127,938	180,195	218,123
y/y growth	6.0%	8.4%	12.2%	14.2%	21.7%	20.6%	17.4%	28.3%	32.2%	32.4%	32.7%	31.5%	44.4%	40.8%	21.0%
Gross Profit	38,536	41,313	10,254	10,893	11,335	12,714	45,196	11,867	12,428	13,105	14,641	52,041	64,142	83,484	101,517
Gross Margin	72.8%	72.0%	68.7%	67.8%	65.9%	66.3%	67.1%	62.0%	58.6%	57.6%	57.5%	58.7%	50.1%	46.3%	46.5%
Sales and Marketing	7,609	7,894	1,886	1,964	1,840	1,883	7,573	1,792	1,728	1,656	1,695	6,871	6,733	6,599	6,467
% of revenue	14.4%	13.8%	12.6%	12.2%	10.7%	9.8%	11.2%	9.4%	8.1%	7.3%	6.7%	7.8%	5.3%	3.7%	3.0%
y/y growth	-7.5%	3.7%	0.6%	-1.6%	-4.1%	-10.6%	-4.1%	-5.0%	-12.0%	-10.0%	-10.0%	-9.3%	-2.0%	-2.0%	-2.0%
Research and Development	6,692	7,222	1,844	1,893	1,822	1,908	7,467	1,770	1,798	1,786	1,870	7,224	7,080	6,938	6,799
% of revenue	12.6%	12.6%	12.4%	11.8%	10.6%	9.9%	11.1%	9.2%	8.5%	7.8%	7.3%	8.2%	5.5%	3.9%	3.1%
y/y growth	0.8%	7.9%	6.2%	4.4%	3.9%	-0.5%	3.4%	-4.0%	-5.0%	-2.0%	-2.0%	-3.3%	-2.0%	-2.0%	-2.0%
General and Administrative	1,181	1,163	288	315	295	333	1,231	282	309	289	326	1,206	1,182	1,159	1,135
% of revenue	2.2%	2.0%	1.9%	2.0%	1.7%	1.7%	1.8%	1.5%	1.5%	1.3%	1.3%	1.4%	0.9%	0.6%	0.5%
y/y growth	-3.0%	-1.5%	5.9%	9.4%	2.1%	6.1%	5.8%	-2.0%	-2.0%	-2.0%	-2.0%	-2.0%	-2.0%	-2.0%	-2.0%
Operating Income	23,054	25,034	6,236	6,721	7,378	8,590	28,925	8,023	8,592	9,374	10,750	36,739	49,147	68,789	87,115
Operating Margin	43.5%	43.6%	41.8%	41.9%	42.9%	44.8%	42.9%	41.9%	40.5%	41.2%	42.2%	41.5%	38.4%	38.2%	39.9%
EBITDA	26,183	28,901	7,587	8,425	9,531	11,005	36,548	11,322	12,446	13,801	15,781	53,349	76,941	106,045	131,661
EBITDA Margin	49.4%	50.4%	50.8%	52.5%	55.4%	57.4%	54.3%	59.1%	58.6%	60.7%	62.0%	60.2%	60.1%	58.9%	60.4%
Interest Expense	(3,514)	(3,578)	(923)	(1,057)	(1,180)	(1,438)	(4,598)	(1,709)	(1,727)	(2,070)	(2,086)	(7,592)	(8,316)	(9,756)	(8,627)
Non-Operating Income, net	(98)	58	73	2,668	132	675	3,548	175	325	350	450	1,300	200	400	200
Pre-tax Income	19,442	21,514	5,386	8,332	6,330	7,827	27,875	6,489	7,191	7,654	9,114	30,447	41,031	59,434	78,688
Provision for Income Taxes	3,733	4,231	1,103	1,734	1,107	1,593	5,537	1,233	1,366	1,454	1,732	5,785	7,796	11,292	14,951
Effective Tax Rate	19.2%	19.7%	20.5%	20.8%	17.5%	20.4%	19.9%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%
Net Income	15,709	17,283	4,283	6,598	5,223	6,234	22,338	5,256	5,824	6,200	7,382	24,662	33,235	48,141	63,738
EPS, Basic	5.73	6.20	1.52	2.30	1.82	2.16	7.81	1.74	1.93	2.06	2.45	8.19	10.81	15.41	20.30
EPS, Diluted	5.56	6.03	1.47	2.26	1.79	2.14	7.66	1.71	1.90	2.01	2.40	8.02	10.58	15.06	19.81

Source: Company Reports, Barclays Research

FIGURE 6. Oracle Balance Sheet

Fiscal end = May \$m	FY 2023	FY 2024	FY 2025	Aug 1Q 26	Nov 2Q 26	Feb 3Q 26	May 4Q 26	FY 2026	Aug 1Q 27E	Nov 2Q 27E	Feb 3Q 27E	May 4Q 27E	FY 2027E	FY 2028E	FY 2029E	FY 2030E
Cash and cash equivalents	9,765	10,454	10,786	10,445	19,241	38,455	31,289	31,289	37,240	25,510	35,009	26,200	26,200	14,463	25,324	7,679
Marketable securities	422	207	417	560	525	677	605	605	605	605	605	605	605	605	605	605
Trade receivables, net	6,915	7,874	8,558	8,843	9,440	10,719	10,385	10,385	9,680	12,360	12,752	13,710	13,710	20,478	27,812	31,736
Prepaid expenses and other current assets	3,902	4,019	4,818	4,786	5,160	5,023	4,288	4,288	5,097	5,481	5,739	4,080	4,080	3,998	3,918	3,840
Total current assets	21,004	22,554	24,579	24,634	34,366	54,874	46,567	46,567	52,622	43,956	54,105	44,595	44,595	39,544	57,658	43,861
Property, plant & equipment, net	17,069	21,536	43,522	53,194	67,875	83,617	99,957	99,957	116,765	134,133	152,460	175,436	175,436	241,731	300,524	339,413
Intangible assets, net	9,837	6,890	4,587	4,167	3,760	3,641	-	-	-	-	-	-	-	-	-	-
Goodwill	62,261	62,230	62,207	62,211	62,207	62,274	62,261	62,261	62,261	62,261	62,261	62,261	62,261	62,261	62,261	62,261
Deferred tax assets	12,226	12,273	11,877	11,734	11,531	11,360	11,541	11,541	11,541	11,541	11,541	11,541	11,541	11,541	11,541	11,541
Op. Lease ROU and Other non-current assets	11,987	15,493	21,589	24,509	25,245	29,474	41,433	41,433	52,357	60,612	68,816	82,749	82,749	138,588	179,081	192,792
Total non-current assets	113,380	118,422	143,782	155,815	170,618	190,366	215,192	215,192	242,924	268,547	295,077	331,986	331,986	454,121	553,406	606,007
Total assets	134,384	140,976	168,361	180,449	204,984	245,240	261,759	261,759	295,547	312,504	349,183	376,581	376,581	493,665	611,065	649,868
Notes payable, other borrowings	4,061	10,605	7,271	9,079	8,091	9,887	7,199	7,199	8,169	8,169	10,919	10,669	10,669	16,250	44,500	-
Accounts payable	1,204	2,357	5,113	8,203	10,140	9,474	10,977	10,977	12,670	12,183	12,259	12,503	12,503	16,458	20,019	19,075
Accrued compensation	2,053	1,916	2,243	1,794	1,947	1,940	2,225	2,225	1,699	1,890	1,913	1,943	1,943	1,904	1,866	1,829
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred revenues	8,970	9,313	9,387	12,098	9,940	9,881	9,916	9,916	14,553	16,128	17,292	22,406	22,406	28,325	28,346	27,725
Lease liabilities and other, current	6,802	7,353	8,629	8,700	7,677	9,555	11,447	11,447	13,249	14,798	15,734	18,181	18,181	28,274	36,299	40,243
Total current liabilities	23,090	31,544	32,643	39,874	37,795	40,737	41,764	41,764	50,340	53,168	58,117	65,703	65,703	91,210	131,029	88,872
Notes payable, other borrowings	86,420	76,264	85,297	82,236	99,984	124,718	122,342	122,342	118,794	118,794	136,044	134,044	134,044	117,794	102,294	102,294
Income taxes payable	11,077	10,817	10,269	10,583	10,885	11,402	11,771	11,771	11,771	11,771	11,771	11,771	11,771	11,771	11,771	11,771
Deferred tax liabilities	5,772	3,692	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Lease liabilities and other	6,469	9,420	19,183	23,090	25,863	29,332	42,826	42,826	47,504	57,000	66,504	82,188	82,188	142,426	189,575	209,168
Total non-current liabilities	109,738	100,193	114,749	115,909	136,732	165,452	176,939	176,939	178,069	187,565	214,319	228,003	228,003	271,991	303,640	323,233
Total liabilities	132,828	131,737	147,392	155,783	174,527	206,189	218,703	218,703	228,409	240,733	272,435	293,706	293,706	363,201	434,669	412,105
Equity	1,556	9,239	20,969	24,666	30,457	39,051	43,056	43,056	67,138	71,771	76,748	82,876	82,876	130,464	176,396	237,763
Total liabilities and equity	134,384	140,976	168,361	180,449	204,984	245,240	261,759	261,759	295,547	312,504	349,183	376,581	376,581	493,665	611,065	649,868

Source: Company Reports, Barclays Research

FIGURE 7. Oracle Cash Flow Statement

Fiscal end = May	FY	FY	FY	Aug	Nov	Feb	May	FY	FY	FY	FY	FY
\$m	2023	2024	2025	1Q 26	2Q 26	3Q 26	4Q 26	2026	2027E	2028E	2029E	2030E
Net income	8,504	10,467	12,443	2,927	6,135	3,721	4,304	17,087	20,887	28,541	42,570	57,642
Depreciation	2,526	3,129	3,867	1,351	1,704	2,153	2,415	7,623	16,609	27,795	37,256	44,546
Amortization of intangible assets	3,582	3,010	2,307	420	406	413	432	1,671	-	-	-	-
Deferred income taxes	(2,167)	(2,139)	(1,637)	515	(183)	(627)	(622)	(917)	-	-	-	-
Stock based compensation	3,547	3,974	4,674	1,124	1,156	1,328	1,203	4,811	4,959	5,317	5,728	6,126
Other, net	661	720	667	164	(2,391)	78	(284)	(2,433)	-	-	-	-
Changes in operating assets and liabilities:	513	(488)	(1,500)	1,639	(4,761)	85	7,172	4,135	15,398	17,639	10,971	4,378
Cash from operating activities	17,166	18,673	20,821	8,140	2,066	7,151	14,620	31,977	57,853	79,292	96,526	112,691
Purchases of marketable securities	(1,181)	(1,003)	(1,272)	(471)	(163)	(1,029)	(376)	(2,039)	-	-	-	-
Proceeds from maturities of securities	1,113	572	776	255	4,482	120	991	5,848	-	-	-	-
Acquisitions, net of cash	(27,721)	(63)	-	-	-	-	-	-	-	-	-	-
Capital expenditure	(8,695)	(6,866)	(21,215)	(8,502)	(12,033)	(18,635)	(16,493)	(55,663)	(92,088)	(94,090)	(96,049)	(83,436)
Other	-	-	-	-	-	-	-	-	-	-	-	-
Cash from investing activities	(36,484)	(7,360)	(21,711)	(8,718)	(7,714)	(19,544)	(15,878)	(51,854)	(92,088)	(94,090)	(96,049)	(83,436)
Payments for repurchases of stock	(1,300)	(1,202)	(600)	(95)	-	-	-	(95)	-	(120)	(120)	(120)
Proceeds from issuance of stock	1,192	742	653	1,170	138	9	132	1,449	20,000	20,000	4,000	4,000
Payment of dividends to stockholders	(3,668)	(4,391)	(4,743)	(1,413)	(1,435)	(1,437)	(1,502)	(5,787)	(6,026)	(6,150)	(6,247)	(6,280)
Proceeds from borrowings	33,994	(167)	21,437	-	18,766	28,057	2,615	49,438	-	-	-	-
Repayments of borrowings	(21,050)	(3,500)	(15,841)	(1,290)	(832)	(71)	(7,034)	(9,227)	15,172	(10,669)	12,750	(44,500)
Excess tax benefits on stock options	(1,203)	(2,040)	(900)	(17)	(92)	(2)	-	(111)	-	-	-	-
Distributions to non-controlling interests / other	(55)	4	1,092	1,855	(2,058)	(12)	(122)	(337)	-	-	-	-
Cash from financing activities	7,910	(10,554)	1,098	210	14,487	31,498	(5,911)	40,284	29,146	3,061	10,383	(46,900)
Change in cash	(11,408)	759	208	(368)	8,839	19,105	(7,169)	20,407	(5,089)	(11,737)	10,861	(17,644)
FX impact	(210)	(70)	124	27	(43)	109	3	96	-	-	-	-
Net change in cash	(11,618)	689	332	(341)	8,796	19,214	(7,166)	20,503	(5,089)	(11,737)	10,861	(17,644)

Source: Company Reports, Barclays Research

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Primary Stocks (Ticker, Date, Price)

Oracle Corp. (ORCL, 08-Sep-2026, USD 162.52), Overweight/Positive, CD/CE/J

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EverCommerce Inc. (EVCN)	Five9, Inc. (FIVN)	Fortinet, Inc. (FTNT)
Gen Digital Inc. (GEN)	GitLab Inc. (GTLB)	Hinge Health, Inc. (HNGE)

HubSpot, Inc. (HUBS)	IBM Corp. (IBM)	Intapp, Inc. (INTA)
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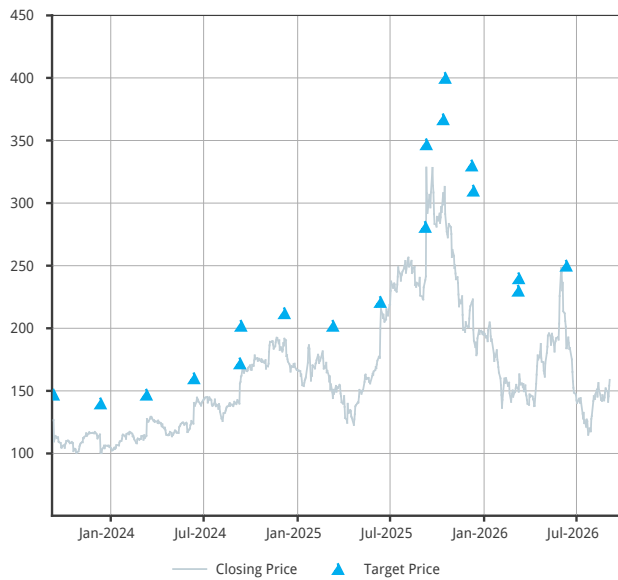
Oracle Corp. (ORCL / ORCL)

Stock Rating: **OVERWEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 162.52** (08-Sep-2026)

Rating and Price Target Chart (as of 08-Sep-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
11-Jun-2026	201.26		250.00	USD
10-Mar-2026	149.40		240.00	USD
09-Mar-2026	152.96		230.00	USD
11-Dec-2025	223.01		310.00	USD
08-Dec-2025	217.58		330.00	USD
17-Oct-2025	313.00		400.00	USD
13-Oct-2025	292.96		367.00	USD
10-Sep-2025	241.51		347.00	USD
08-Sep-2025	232.80		281.00	USD
12-Jun-2025	176.38		221.00	USD
11-Mar-2025	148.79		202.00	USD
06-Dec-2024	186.24		212.00	USD
12-Sep-2024	161.38		202.00	USD
10-Sep-2024	139.89		172.00	USD
12-Jun-2024	123.88		160.00	USD
11-Mar-2024	114.13		147.00	USD
12-Dec-2023	115.13		140.00	USD
11-Sep-2023	126.71		147.00	USD

On 09-Sep-2023, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 150.00 USD.

Source: Bloomberg, Barclays Research

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BRND2026